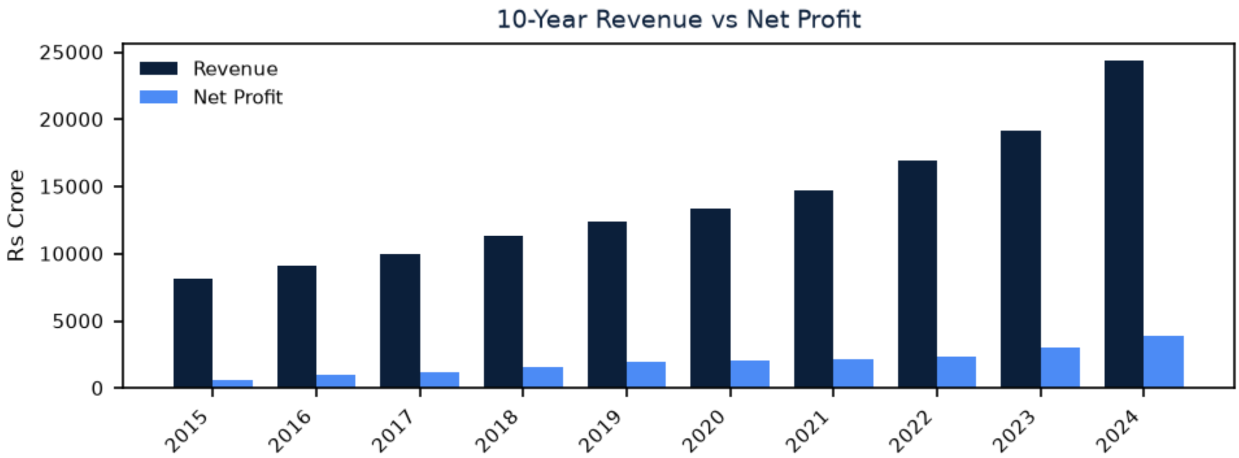
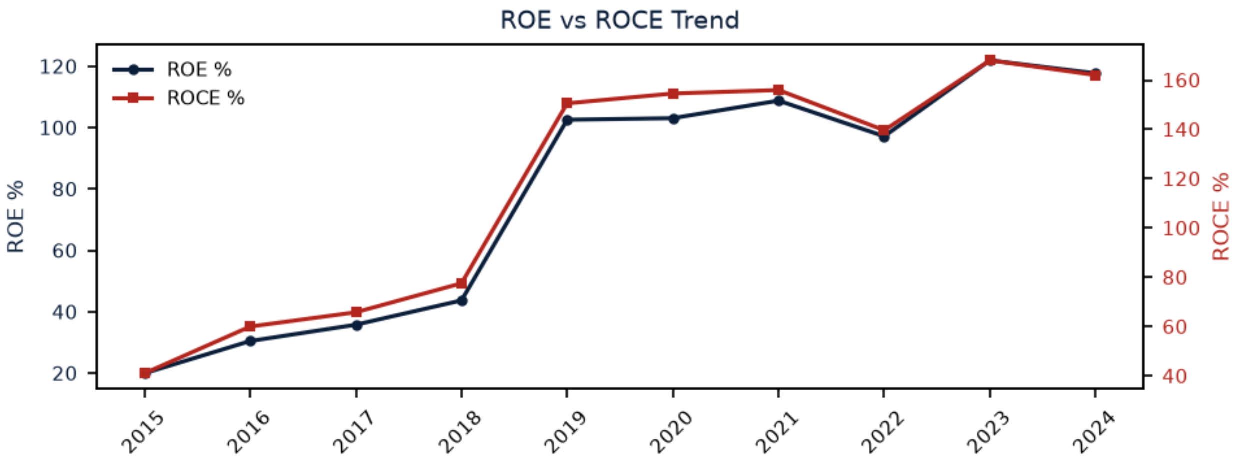
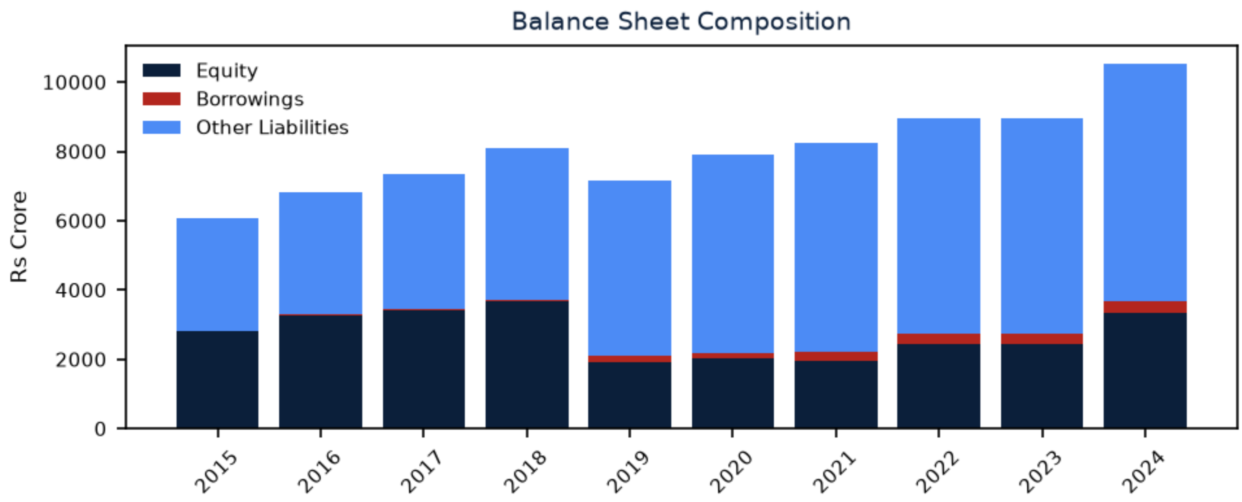
Nestle India Ltd

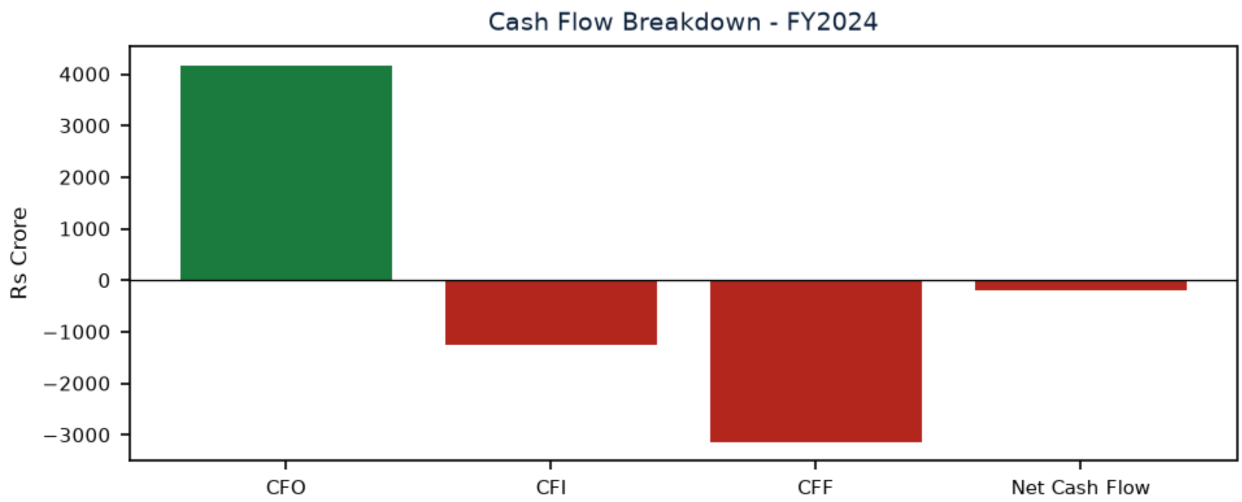
NESTLEIND

117.8% ROE	**162.1%** ROCE	**0.1x** D/E
23.8% OPM	**14.6%** Revenue CAGR 5yr	**14.8%** PAT CAGR 5yr









Pros

+ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
+ Very high interest coverage ratio reflects negligible financial stress from debt servicing
+ Strong free cash flow generation over 5 years signals healthy business fundamentals
+ Consistent dividend yield above 2% backed by positive free cash flow
+ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
+ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern

Reinvestor